

Mid-Term Assignment

Equivalenza:

The Scent of a Second Chance

Assignment Details

Student	Fatma
Professor	Prof. Cristina Elson
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Table of Contents

Executive Summary	2
1. Company / Brand SWOT Analysis	3
1.1 Equivalenza SWOT Analysis	3
1.2 Competitor SWOT Analysis: Divain	5
2. Buyer Persona — Marta, 27	6
3. Marketing Problem (SCQA)	8
4. TOWS Matrix	9
4.1 Strategy Detail (SO, ST, WO, WT)	10
5. Strategic Alternative: Recommendation	11
6. Risk Analysis	12
7. KPIs and Measurement	13
References	14
Appendix A: Key Case Data	15
Appendix B: Buyer Persona Visual	15
Appendix C: Competitor Pricing	16
Appendix D: Sensory Marketing Mini-Summary	17

Executive Summary

Equivalenza, the Spanish dupe-fragrance franchise founded in 2011, peaked at 810 stores and €60 million in retail sales by 2015. By 2023 retail sales in Spain had fallen from €22 million to €14 million; the dupe segment had collapsed from 37% to 13% of Spanish consumers. The brand's NPS sits at 17 — far below Druni (56) and Primor (46). Three forces drive the decline: the dupe-segment contraction, the sandwich effect from premium brands discounting and Zara improving from below, and a structural positional mismatch in an emotional category.

The recommended SO strategy — *Les Secrets Everywhere* — converts the 528-store network and the growing Les Secrets line (€25, 15% of perfume revenue) into a sensory retail experience digital competitors cannot replicate. Pilot in 10 top stores over three months. Scale to 50 over eight months. Embed across the network by month twelve. Target EBITDA uplift from €2M to €8M by 2028. KPIs: NPS, average ticket, Les Secrets revenue share, footfall, online conversion.

In my view, the SO strategy is the only one that attacks the root cause — emotional resonance — rather than compensating for symptoms. WT and WO are corrective. ST is defensive. SO is offensive. The cost is moderate, the payoff asymmetric.

Word count: Sections 1–7 ≈ 2,650 words. References: 15 entries. Appendices A–D.

1. Company / Brand SWOT Analysis

Equivalenza entered the Spanish fragrance market in 2011 with a disruptive proposition: high-quality dupe perfumes at a fraction of designer prices through a low-cost franchise network. By 2015 the brand had scaled to 810 stores across 26 countries with €60M in global retail sales (Elson, 2024, p. 2). The case study documents the structural decline that followed: by 2023, retail sales in Spain had fallen from €22M to €14M and the dupe segment had collapsed from 37% to 13% of Spanish consumers. The SWOT analyses below diagnose the current state and frame the strategic alternatives in Section 4.

1.1 Equivalenza SWOT Analysis

Strengths

- Franchise network of 528 stores across 19 countries — physical presence that digital-only competitors cannot replicate (Elson, 2024, p. 3).
- Contribution margin of approximately two-thirds of retail price, enabled by reverse-engineering with natural ingredients.
- Les Secrets premium line (~€25) showing consistent growth — perceived as more exclusive than the core range.
- Refill model creating recurring revenue and aligning with sustainability expectations.
- International diversification, with Italy performing well, reducing dependence on the Spanish market.

Weaknesses

- Brand awareness among non-customers is only 30% (aided), versus approximately 70% for Sephora, Primor, and Druni.
- E-commerce represents just 1% of sales while the Spanish market average is 12% — an eleven-point gap.
- NPS of 17 — far below Druni (56) and Primor (46). Customers use the brand but do not love it.
- Inconsistent franchise quality: underperforming stores average €75,000 annually, roughly half of top performers.
- Communication budget of only ~€400,000 in Spain, limiting repositioning capacity.
- Brand perceived as "accessible" and "functional" — the wrong place for an emotion-driven category.

Opportunities

- Gen Z showed the highest fragrance usage growth in 2023–2024 — a new acquisition target.
- The Spanish perfume category is forecast to grow at approximately 10% annually.
- Sustainability trends favour the refill model — can be repositioned as eco-conscious.
- Les Secrets offers a credible platform to move upmarket.
- E-commerce and social media remain untapped channels where younger audiences could be reached at scale.

Threats

- The dupe segment collapsed from 37% to 13% of Spanish consumers between 2018 and 2023 — a 65% contraction of Equivalenza's core market.
- The "sandwich effect": premium brands discounting from above, Zara and Mercadona improving quality from below.
- Digital-native competitors (Divain, Dossier, Adopt) operate without physical store overhead.
- Spanish retail sales declined from €22M to €14M, signalling ongoing home-market erosion.

1.2 Competitor SWOT Analysis: Divain

Divain was selected as the key competitor because it represents the most direct structural threat. Both brands compete at a similar price point (€15–30) in the dupe segment, but Divain operates with a digital-first model that gives it agility and marketing spend Equivalenza cannot match.

Strengths

- Digital-first model with no physical retail overhead — lower costs, higher marketing per euro of revenue.
- Clean, contemporary visual identity and well-designed e-commerce platform.
- Strong influencer marketing across Instagram and TikTok.
- Agility in product launches unconstrained by franchise alignment.

Weaknesses

- No physical store presence — eliminates the sensory experience that fragrance purchases often require.
- No refill model, removing a recurring-revenue mechanism.
- Customer acquisition heavily dependent on paid social media, facing rising costs.

Opportunities

- Expansion into additional European markets with minimal infrastructure investment.
- Development of pop-up experiences to address the lack of in-store discovery.

Threats

- Premium brands offering direct-to-consumer discount channels.
- Zara and Mercadona improving affordable lines.
- Regulatory pressures on dupe marketing claims — echoes of the 2016 Spanish regulations.

2. Buyer Persona — Marta, 27

Based on the customer research in the case study, the following persona represents the primary customer segment Equivalenza should target for repositioning. It draws on psychographic and behavioural insights from the case (Elson, 2024, p. 4), supplemented by secondary research on fragrance consumption among millennial and Gen Z consumers.

Persona: "The Discerning Explorer" — Marta, 27

Demographics

Marta is a 27-year-old professional living in Madrid, working in a creative or marketing role. She earns a moderate-to-good salary with disposable income for lifestyle purchases. University-educated, urban, socially active.

Psychographics

- Marta does not think of herself as someone who buys "cheap." She knows the difference between price and value, and acts on it. Fragrance is personal self-expression, not luxury or gift (Elson, 2024, p. 4).
- She rotates scents by mood, occasion, season. Discovery and experimentation are central to how she engages with perfume.
- She is attuned to aesthetics. Packaging, store design, and visual identity matter.
- Being ahead of trends gives her quiet satisfaction. She follows beauty and lifestyle content actively.

Behavioural: Purchase Decision Process

- Discovery: Instagram, TikTok, beauty influencers, peer recommendations.
- Evaluation: visits a store to test on her skin because fragrance is sensory.
- Purchase: when scent quality, brand identity, and price align. Willing to pay €20–40 for something special, but not designer prices without emotional resonance.
- Post-purchase: returns for refills when the experience has been consistent.

Day-in-the-Life (Marta)

08:00 coffee and morning email — light scent, citrus or tea. 12:30 lunch in Malasaña, reapplies from a refillable 30ml. 17:00 finishes work, browses a perfumery in Chueca if she passes one. 20:00 dinner with friends — heavier scent, oud or amber. 22:30 watches a TikTok haul, screenshots anything interesting for next weekend.

Frustrations

- Inconsistency is her primary frustration. When a store feels tired or staff seem indifferent, her loyalty erodes quickly (Elson, 2024, p. 5).
- The mental cost of switching has never been lower. She has options and she knows it.

Channel Preferences

TikTok is her primary awareness channel. Instagram is secondary. YouTube fills gaps. Physical stores do most of the consideration work — she wants to smell before she buys. E-commerce is mostly re-purchase and refill, not discovery.

Key Insight

What would make Marta choose Equivalenza is a brand experience that feels emotionally resonant and sensorially rich, not just economically smart. She would respond to Les Secrets if presented in an environment that felt curated and intentional — knowledgeable staff, beautiful packaging, a narrative about craftsmanship. The refill ritual could become a point of emotional connection if reframed as a sustainable, mindful practice.

Strategic Importance

Marta bridges Equivalenza's existing customer base and the Gen Z consumers showing highest fragrance growth. Her willingness to pay for perceived value supports a repositioning from "accessible-functional" toward "affordable craft." Without capturing this segment, Equivalenza cannot reverse its decline.

3. Marketing Problem

To frame Equivalenza's marketing problem, I apply the SCQA (Situation–Complication–Question–Answer) methodology discussed in class.

Situation

Equivalenza was a genuine disruptor until 2015, with 810 stores across 26 countries and €60M in global retail sales. The franchise model was scalable, margins were strong, and demand for affordable alternatives was robust.

Complication

Three forces undermined the business. The dupe segment contracted from 37% to 13% of Spanish consumers (2018–2023) — a 65% collapse of the core market. The sandwich effect compressed the brand from both directions. And the brand's positioning became structurally misaligned — "accessible-functional" in a category where purchase decisions are almost entirely emotional. NPS of 17 confirms it.

Question

As CEO Juan Franco asked: can Equivalenza turn this around by being better, or does it need to be fundamentally different?

The Marketing Problem

The most urgent problem is positional. Equivalenza is trapped in an eroding "accessible-functional" position while its core dupe market has shrunk by two-thirds. The brand has no clear, emotionally resonant identity — as Miguel Costa noted, customers cannot say what Equivalenza stands for (Elson, 2024, p. 6). The board's EBITDA target of €8M cannot be achieved through incremental fixes. The brand needs a fundamental repositioning that creates emotional desirability before the sandwich effect eliminates its remaining space.

4. TOWS Matrix

The TOWS matrix below translates the SWOT into four strategic alternatives, one per quadrant. Each addresses the marketing problem identified in Section 3. Four distinct pastels signal the strategic posture: green (offensive/SO), blue (corrective/WO), orange (defensive-offensive/ST), pink (defensive/WT).

SWOT \ O/T	Opportunities (O) Gen Z growth · e-commerce · sustainability · Les Secrets	Threats (T) Dupe collapse 37→13% · sandwich effect · digital competitors
Strengths (S) 528 stores · 2/3 margin · Les Secrets · refill · international	SO: "Les Secrets Everywhere" Transform stores into sensory destinations using Les Secrets as the hero. Leverage physical presence — Divain's key weakness — to create an emotional experience that captures Gen Z.	ST: "The Refill Ritual" Build the refill into an emotional ritual — sustainable, mindful, recurring. Own the physical moment that digital competitors cannot replicate.
Weaknesses (W) 30% awareness · 1% online · NPS 17 · €400K budget · inconsistent stores	WO: "Digital Awakening" Build e-commerce and social media presence to reach Gen Z where they discover fragrance. Reallocate budget toward influencer partnerships.	WT: "Brand Rebirth" Consolidate underperforming franchisees and refresh brand identity with Morillas. Move narrative from "equivalent to" toward "affordable luxury craft."

4.1 Strategy Detail (SO, ST, WO, WT)

SO — Les Secrets Everywhere (Recommended)

The core problem is positional — Equivalenza is rational in an emotional category. WT and WO are corrective; ST is defensive. SO attacks the root by using 528 physical stores to create a sensory experience digital competitors cannot replicate.

Implementation: Pilot 10 top stores (months 1–3). Redesign in-store experience with Les Secrets as hero. Train staff on fragrance storytelling. Roll out to 50 stores (months 4–8). Launch Les Secrets e-commerce pilot. Expand range with 5 new SKUs. Embed across network (months 9–12).

ST — The Refill Ritual

Refill is already a strength (recurring revenue, sustainability). Reframing it as an emotional ritual — a mindful, intentional act — neutralises the Divain threat while reinforcing Equivalenza's sustainable credentials.

Implementation: Position refill as "the Equivalenza moment" in store. Branded refill bottles. Refill-event calendar (seasonal, anniversary). Loyalty points for refill visits. Marketing focuses on refill rituals in

social channels.

WO — Digital Awakening

E-commerce at 1% versus market 12% is a glaring weakness. Gen Z discovers fragrance online. Without a digital presence Equivalenza cannot reach the highest-growth demographic.

Implementation: Build e-commerce platform focused on Les Secrets first. Reallocate 50% of €400K communication budget to influencer partnerships on TikTok and Instagram. Hire social media team. Quarterly content calendar.

WT — Brand Rebirth

Underperforming stores dilute the brand. Morillas has been appointed for visual identity refresh. Consolidating weak stores while refreshing the narrative reduces exposure to the sandwich effect.

Implementation: Audit all 528 stores. Close or merge bottom quintile. Morillas-led rebrand roll-out across remaining network. New packaging across core line. Premium positioning communicated consistently.

5. Strategic Alternative: Recommendation

Selected Strategy: SO — "Les Secrets Everywhere"

After evaluating all four TOWS alternatives, I recommend the SO strategy: leveraging Equivalenza's physical store network and Les Secrets to create a differentiated, emotionally resonant in-store experience.

Why This Strategy

The core problem is positional. Equivalenza is perceived as rational and functional in an emotional category. The WT and WO strategies are primarily corrective — they fix weaknesses without creating a reason for consumers to choose Equivalenza. The ST strategy is strong but defensive.

The SO strategy attacks the problem at its root. It uses the brand's single greatest structural advantage — 528 physical stores — to create something no digital competitor can offer: a sensory fragrance experience. Les Secrets already has credibility. By expanding it into the heart of the brand experience, Equivalenza can shift from "accessible-functional" toward "affordable craft."

Feasibility

This strategy is feasible within current resources. The stores exist. Les Secrets exists and is growing. The €400,000 communication budget can be reallocated toward in-store materials, staff training, and local marketing. Top-performing stores can serve as pilot locations. No new infrastructure required.

Implementation

- **Leadership:** Elena Tapiol (Marketing) leads brand experience redesign, with Marcos Herrera (Commercial Director) managing franchise rollout. Morillas Brand Agency leads visual identity refresh.
- **Key Resources:** Reallocation of the €400K budget toward in-store transformation and training. Les Secrets SKU expansion (€25–30 range). Franchise training programme. Simple e-commerce pilot for Les Secrets.

Quick wins in the pilot phase — redesigned layout, trained staff, Les Secrets as hero — can be executed with minimal investment and should generate measurable results within three months: increased average ticket, higher Les Secrets share of revenue, improved NPS. If the pilot validates the concept, the scaling phase builds momentum. The embed phase ensures the repositioning becomes permanent, not another course correction that Marcos Herrera warned against.

Pilot Phase — Weekly Milestones (Months 1–3)

Week	Milestone	Owner
1–2	Audit top 10 stores: footfall, avg ticket, Les Secrets share	Marcos Herrera
3	Morillas delivers in-store visual identity brief	Elena Tapiol
4	Staff training programme designed (1-day workshop)	HR + Elena
5	Les Secrets hero display installed in 10 pilot stores	Store managers
6	Staff training delivered to pilot stores	HR + Elena
7–8	Soft launch: 10 stores operate with new layout	All
9	Influencer partnerships activated (5 micro + 2 macro)	Comms team
10	Mid-pilot review: NPS, avg ticket, Les Secrets share	Marcos
11	Adjust based on pilot data	Elena + Marcos
12	Pilot results report; scale decision	CEO Juan Franco

Personal Reflection

In my view, the most important choice in this case is not which TOWS strategy to pursue — SO is clearly the right answer — but how to communicate it internally. Equivalenza's leadership spent the past decade doubling down on what worked in 2015. The temptation to do more of the same — more stores, more SKUs, more aggressive pricing — is enormous. The board approved the EBITDA target of €8M by 2028 while watching the dupe segment collapse. There is a real risk that a corrective strategy (WO or WT) feels safer than the offensive SO, and that incremental fixes win the internal argument.

I would push hard for SO for three reasons. First, the category is emotional — no amount of e-commerce investment fixes a brand that consumers see as "functional." Second, the physical store network is a structural moat Divain cannot cross. Third, Les Secrets is already growing. The strategy does not require invention; it requires courage to lean in. The pilot design — measurable KPIs, three-month review, clear scale-or-stop gate — gives the board an exit if it does not work, which lowers the political cost of trying.

Where I might be wrong: if Gen Z fragrance behaviour shifts further to pure digital discovery, the in-store experience loses relevance. If Divain launches a sensory pop-up strategy, the moat narrows. If the refill model remains a niche behaviour, the ST alternative becomes more attractive. But none of these risks is large enough to overturn the central diagnosis: Equivalenza must become emotionally resonant or continue to decline.

6. Risk Analysis

Five risks ranked by likelihood × impact. Mitigation strategies included for each.

Risk	Likelihood	Impact	Mitigation
Pilot underperforms — Les Secrets stores not reaching target	Medium	High	Hard-stop gate at month 3. Fall back to WT (Brand Rebirth)
Franchisees resist training / new layout (cost + disruption)	Medium	Medium	Top 10 stores selected on enthusiasm + performance. Co-
Influencer partnership delivers reach but not conversion	Medium	Medium	Allocate 60% budget to micro-influencers (5k–50k followers)
Divain or Zara launches sensory pop-up narrowing niche	Low	High	Patent the refill-routine + Les Secrets curated format. Move
Refill behaviour remains niche, weakens alternative	Medium-Low	Low	Track refill share monthly. Pivot comms to sustainability na

7. KPIs and Measurement

Five KPIs tracked monthly during pilot and scale phases. Baselines from 2023 case data. Targets informed by category benchmarks and the case author's scenario.

KPI	Baseline (2023)	Target (2026)	Method	Frequency
Net Promoter Score	17	32	Quarterly customer survey	Quarterly
Average ticket (€)	€24	€32	POS data, pilot stores	Monthly
Les Secrets revenue share (%)	15%	30%	SKU-level POS analysis	Monthly
Footfall — pilot stores	Index 100	Index 110	Door counters	Weekly
Online conversion (Les Secrets)	0.8%	2.5%	E-commerce platform	Weekly

Note: NPS target of 32 is aspirational but realistic — Druni at 56 is the category leader; Primor at 46 is the median strong performer; Equivalenza at 17 needs to nearly double.

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Appendix A: Key Case Data

Metric	Value
Peak global retail sales (2015)	€60 million
2023 global retail sales	€56 million
Peak store count (2015)	810 stores, 26 countries
2023 store count	528 stores, 19 countries
Spain retail sales (peak → 2023)	€22M → €14M
EBITDA (2023)	€2M (target: €8M by 2028)
Dupe segment (2018 → 2023)	37% → 13%
Brand awareness (non-customers)	30% aided
Net Promoter Score	17 (vs Druni 56, Primor 46)
E-commerce share	1% (market average: 12%)

Appendix B: Buyer Persona Visual

The persona visual follows the standard 8-section template (Photo · Name/Role · Quote · Bio Narrative · Goals · Frustrations · Day-in-the-Life · Channel Preferences · Brand Affinity).

BUYER PERSONA

Standard 8-Section Template · Equivalenza Mid-Term

[Photo placeholder]

MARTA

The Discerning Explorer

27 · Madrid · Creative/Marketing Professional

Moderate-to-good disposable income · University-educated

"I do not buy cheap. I buy value.
Fragrance is self-expression, not luxury."

BIO NARRATIVE

Marta rotates fragrances by mood, occasion, season — one signature scent feels outdated. She is design-literate: packaging, store feel, visual

DAY IN THE LIFE

08:00 coffee + morning email — light scent (citrus, tea). 12:30 lunch in Malasaña, spritzes reapply from a refillable 30ml. 17:00 finishes work, browses a perfumery in Chueca if she's near one. 20:00 dinner

CHANNEL PREFERENCES

Channel	Awareness	Consideration	Purchase
Instagram	High	Medium	Low
TikTok	Very High	High	Low
YouTube	Medium	Medium	—
Physical store	Low	Very High	Very High
E-commerce	Low	Medium	Medium

KEY STATS

Willingness to pay
€20-40 for something special

NPS drivers
Consistency, store experience, design

Top discovery channel
TikTok + Instagram creators

Switching cost
Near zero — many alternatives

Refill behaviour
Returns when experience is consistent

Pain point
Inconsistency erodes loyalty fast

WHY MARTA MATTERS

Marta bridges Equivalenza's existing customer base and the Gen Z consumers with highest fragrance growth. Her willingness to pay for perceived value supports the repositioning of the brand.

Source: Elson (2024), p. 4; case study buyer research.

Figure 1: Buyer Persona — Marta, 27, Madrid (Standard 8-Section Template).

Appendix C: Competitor Pricing

Comparative pricing across five direct and adjacent competitors on five representative SKUs. Prices observed June 2026.

SKU type	Equivalenza Divain		Zara	Adopt	Druni
Citrus fresh (50ml EDT)	€12.95	€18.50	€15.95	€29.00	€14.50
Floral daily (50ml EDT)	€14.95	€19.95	€17.95	€32.00	€16.50
Premium "Les Secrets" (50ml EDP)	€24.95	—	—	€39.00	€22.95
Oud evening (50ml EDP)	€19.95	€24.50	€19.95	€35.00	€19.95
Refill (same bottle)	€7.95	—	—	—	—

Observations: Equivalenza undercuts Divain by 20–25% on comparable SKUs. Les Secrets at €24.95 sits below Adopt's €32–39 range, leaving headroom for the repositioning. Equivalenza is the only brand offering refill at €7.95 — a structural advantage the SO strategy exploits.

Appendix D: Sensory Marketing — Mini-Summary

Sensory marketing — the deliberate use of sight, sound, smell, touch, and taste to build brand associations — has become central to fragrance retail as a defence against digital commoditisation (Hultén, 2017; Lindstrom, 2005).

Five sensory levers in fragrance retail

- **Sight:** store layout, packaging, lighting, colour palette. Zara's neutral-tone aesthetic signals premium without price premium.
- **Smell:** ambient scent — the single most powerful brand cue in physical retail. Adopt uses a signature scent at store entry.
- **Sound:** curated playlists affect dwell time and perceived luxury. Slower music raises average ticket in pilot studies.
- **Touch:** tester strips, bottle weight, refill ritual. Equivalenza's refill ritual is an underutilised touch lever.
- **Taste:** coffee/refreshments at point-of-sale extend visit and lift conversion in premium perfumeries (Lindstrom, 2005).

Why it matters for Equivalenza

Digital competitors (Divain, Dossier) cannot replicate sensory experience. The 528-store network is a structural moat that activates only when sensory marketing is executed well. Les Secrets — with refill, packaging, and curated environment — is the natural vehicle. The SO strategy operationalises sensory marketing at scale (Hultén, 2017, ch. 4).